

Member Eligibility and Onboarding Policy

Organisation	North Pennine Community Credit Union (NPCU)
Version	2.2
Status	CURRENT
Effective date	01 January 2026
Policy owner	Head of Member Services
Classification	Synthetic training material

Document control note: users must confirm status and effective date before relying on a rule. Superseded documents are retained in this synthetic corpus deliberately so that retrieval pipelines can be tested for version awareness.

1. Purpose, Scope and Principles

This section defines how North Pennine Community Credit Union (NPCU) applies purpose, scope and principles in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
1.1	Membership is available only where the applicant falls within the approved common bond and can be identified to the required standard.
1.2	The onboarding journey must separate eligibility, identity verification, sanctions screening, product selection and funding so that failure in one stage is not hidden by success in another.
1.3	No colleague may bypass an eligibility or identity control simply to meet a service target.

Control 1. Membership is available only where the applicant falls within the approved common bond and can be identified to the required standard. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

Quality assurance should test a representative sample of cases against this control. Where an error could affect a member financially, regulatory obligations, data integrity or the accuracy of management reporting, the issue must be corrected promptly and considered for wider impact assessment.

Control 2. The onboarding journey must separate eligibility, identity verification, sanctions screening, product selection and funding so that failure in one stage is not hidden by success in another. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 3. No colleague may bypass an eligibility or identity control simply to meet a service target. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Management information for this area should distinguish volume, value, exception rate and outcome. Trend analysis must consider whether movements are driven by portfolio growth, mix changes, operational incidents or genuine deterioration in member outcomes.

2. Common Bond and Eligibility

This section defines how North Pennine Community Credit Union (NPCU) applies common bond and eligibility in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

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2.1	Eligible applicants include employees of participating employers, residents within the approved geographic common bond and qualifying family members where the rules permit.
2.2	Evidence of employer eligibility may include a current payroll record, employee number, employer email confirmation or other approved evidence.
2.3	Where common-bond evidence is ambiguous, the application must be referred before membership is activated.

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Control 2. Evidence of employer eligibility may include a current payroll record, employee number, employer email confirmation or other approved evidence. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 3. Where common-bond evidence is ambiguous, the application must be referred before membership is activated. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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3. Identity and Address Verification

This section defines how North Pennine Community Credit Union (NPCU) applies identity and address verification in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

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Ref	Key requirement
3.1	Standard onboarding requires verification of full legal name, date of birth and residential address using approved electronic or documentary evidence.
3.2	A failed electronic identity check is not automatically a decline; the member may enter the documented manual verification route.
3.3	Document images must be legible, current where required and retained only in approved systems.

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Control 2. A failed electronic identity check is not automatically a decline; the member may enter the documented manual verification route. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 3. Document images must be legible, current where required and retained only in approved systems. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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4. Digital Onboarding and Duplicate Prevention

This section defines how North Pennine Community Credit Union (NPCU) applies digital onboarding and duplicate prevention in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

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Ref	Key requirement
4.1	The onboarding service must check for likely duplicate members using name, date of birth, postcode, mobile number and other available identifiers.
4.2	Potential duplicates must be reviewed before a new member number is issued.
4.3	Digital applications that stop before completion may be retained for a limited period for service recovery but must not be treated as active memberships.

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5. Payroll Membership

This section defines how North Pennine Community Credit Union (NPCU) applies payroll membership in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

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Ref	Key requirement
5.1	Where the employer supports payroll deductions, the member's payroll identifier must be validated before the first deduction instruction is submitted.
5.2	Changes to payroll identifiers require maker-checker review when they could redirect savings or loan deductions.

Ref	Key requirement
5.3	A payroll enrolment failure must be communicated to the member and must not silently create an assumption that a loan payment has been made.

Control 1. Where the employer supports payroll deductions, the member's payroll identifier must be validated before the first deduction instruction is submitted. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 3. A payroll enrolment failure must be communicated to the member and must not silently create an assumption that a loan payment has been made. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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6. Vulnerable Members and Assisted Journeys

This section defines how North Pennine Community Credit Union (NPCU) applies vulnerable members and assisted journeys in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

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Managers are expected to monitor both individual exceptions and emerging patterns. A single exception may be reasonable; a recurring exception can indicate a control design problem, training issue, configuration defect or change in member behaviour.

Ref	Key requirement
6.1	Colleagues must record reasonable adjustments and communication needs without recording unnecessary sensitive narrative.
6.2	A vulnerable-member flag changes how service is delivered; it does not by itself determine lending eligibility.
6.3	Where a representative is involved, authority must be confirmed and the member's own wishes must remain central where capacity permits.

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Control 3. Where a representative is involved, authority must be confirmed and the member's own wishes must remain central where capacity permits. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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7. Membership Closure and Dormancy

This section defines how North Pennine Community Credit Union (NPCU) applies membership closure and dormancy in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

Operational teams must record enough evidence for a reviewer to reconstruct the decision without relying on the memory of the original colleague. Where a system rule and a documented policy appear to conflict, the current approved policy takes precedence and the discrepancy must be raised as a change or incident.

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Ref	Key requirement
7.1	A membership may be closed only after liabilities, pending card or payment items and legal restrictions have been resolved.
7.2	Dormancy rules must not prevent the credit union from contacting a member about arrears, fraud, complaints or statutory obligations.
7.3	Closed-member records remain subject to the retention policy.

Control 1. A membership may be closed only after liabilities, pending card or payment items and legal restrictions have been resolved. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 2. Dormancy rules must not prevent the credit union from contacting a member about arrears, fraud, complaints or statutory obligations. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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Control 3. Closed-member records remain subject to the retention policy. The case record must show the information relied upon, the outcome, the colleague or automated rule that made the decision, and any approval required. Evidence should be captured at the point of decision rather than reconstructed later.

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8. Management Information and Quality Assurance

This section defines how North Pennine Community Credit Union (NPCU) applies management information and quality assurance in day-to-day operations. The control intent is to make decisions repeatable, evidenced and capable of independent review.

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8.1	Monthly onboarding MI must include application volumes, completion rate, manual referrals, duplicate detections, identity failures and average time to open.
8.2	Quality assurance should report control failures separately from member-caused abandonment.
8.3	Material increases in manual override rates must be investigated.

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